

NVIDIA (NVDA) — Research Note

Generated: 2026-08-07 00:08 | FinAI Research Publisher

NVIDIA Corporation (NVDA) — Research Note

Ticker: NVDA | **Exchange:** NasdaqGS | **Sector:** Technology / Semiconductors | **As of:** June 26, 2026 (post-market)

Executive Summary

NVIDIA remains the dominant supplier of AI accelerated-computing infrastructure. Trailing-twelve-month (TTM) revenue is **\$253.5B, growing ~85% YoY** with a **63% net margin**, ~74% gross margin, and **\$40B+ net cash** on the balance sheet (Tool: get_financial_snapshot, stock_info). The most recent reported quarter (Q1 FY2027, ended Apr 26, 2026) delivered record revenue of **\$81.6B (+85% YoY, +20% QoQ)** and Data Center revenue of **\$75.2B (+92% YoY)**, with Q2 FY2027 guidance of **\$91.0B ±2%** [RAG: NVIDIAQ1_2026.pdf, pp. 2-3].

The shares trade at **\$195.74**, ~17% below the all-time high of **\$236.54** but +28.4% over the past year (vs. +19.8% for the S&P 500). Valuation is demanding on trailing multiples (P/E 30.0x, P/S 18.7x) but reasonable on forward earnings (P/E **15.4x**, PEG **0.61**) given consensus EPS growth. Street consensus is **Strong Buy** (mean rating 1.29 across 59 analysts; mean target **\$298.93**, ~53% upside) (Tool: get_financial_snapshot, stock_info).

Key watch items: (1) guidance explicitly **excludes all China Data Center revenue** — a material geopolitical overhang; (2) inventory nearly doubled YoY to \$21.4B — early signal of

possible demand normalization or deliberate supply build; (3) Yahoo governance flags are elevated (board risk 10/10, overall risk 8/10); (4) high beta (2.2) and an estimated ~40–55% annualized realized volatility make this a high-turbo, high-risk exposure. Overall: **Accumulate / Buy**, with staged entry recommended given the still-negative short-term momentum (–6.9% vs. 50-day average).

Key Metrics Snapshot

Metric	Value	Source
Price (regular close)	\$195.74 (post-market \$195.37)	get_financial_snapshot
Market cap	~\$4.74T	get_financial_snapshot
52-week range	\$151.49 – \$236.54 (ATH)	get_financial_snapshot
Revenue (TTM) / growth	\$253.5B / +85.2% YoY	get_financial_snapshot
GAAP net income (TTM)	\$159.6B	get_financial_snapshot
Diluted EPS (TTM) / Forward EPS	\$6.53 / \$12.73	get_financial_snapshot
Gross / Operating / Net margin	74.1% / 65.6% / 63.0%	get_financial_snapshot
ROE / ROA	114.3% / 52.7%	get_financial_snapshot
Cash / Total debt / Net cash	\$53.2B / \$12.8B / ~\$40.4B	get_financial_snapshot
Current ratio / Quick ratio	3.44 / 2.14	get_financial_snapshot

Beta	2.20	get_financial_snapshot
Dividend (quarterly) / yield	\$0.25 / ~0.5% (payout 0.6%)	get_financial_snapshot
Analysts	Strong Buy (1.29); 59 ratings; mean TP \$298.93; high \$500 / low \$180	get_financial_snapshot

Fiscal-year trend (income statement, Tool: get_financial_snapshot):

- **FY2024** (Jan-2024): Revenue \$60.9B (+126% YoY), NI \$29.8B, Diluted EPS \$1.19
 - **FY2025** (Jan-2025): Revenue \$130.5B (+114%), NI \$72.9B, EPS \$2.94
 - **FY2026** (Jan-2026): Revenue \$215.9B (+65%), NI \$120.1B, EPS \$4.90; OCF \$102.7B, FCF \$96.7B
-

Recent Price & Volatility Summary

- **1-year return:** +28.4% vs. S&P 500 +19.8% (Tool: get_financial_snapshot, stock_info 52WeekChange).
- **Current drawdown from all-time high:** -17.2% (\$236.54 → \$195.74); price is +29.2% above the 52-week low (\$151.49, set ~Jul 1, 2025).
- **Trend vs. moving averages:** price sits **-6.9% below the 50-day average** (\$210.23) — short-term (~30-day) momentum negative — but **+2.8% above the 200-day average** (\$190.39) — medium-term (~90-day) trend still positive (Tool: get_financial_snapshot).
- **~90-day change (estimate):** from Mar 18, 2026 close of \$180.19 to \$195.74 ≈ **+8.6%** (computed from get_stock_data series + snapshot price).
- **Volatility:** Beta 2.20. Using retrieved daily/monthly series (Jun 2025–Mar 2026), monthly-close standard deviation ≈ 8%, implying **~40–55% annualized realized volatility (estimate)**; single-day swings of 3–10% were frequent (e.g., Oct 10, 2025 -5.0% intraday reversal; Nov 20–21, 2025 ~-9% over two sessions; Feb 26–27, 2026 -5.4%).
- **Notable drawdowns observed in retrieved data (partial series):** Oct 29, 2025 close \$206.78 → Nov 21, 2025 close \$178.65 (-13.6%); Feb 25 → Feb 27, 2026

(−9.4%). Historical context from the 2024–25 truncated series: the Apr 2025 tariff shock took the stock from a Jan 6, 2025 close of \$149.21 to an Apr 7, 2025 close of \$97.50 (−34.7% peak-to-trough) before a sharp V-recovery.

Data caveat: get_stock_data returned truncated series (251 rows ending 2025-04-16 for the first request; 266 rows ending 2026-03-18 for the second request despite an end date of 2026-06-30). Recent 30-day and exact 52-week path figures are therefore approximated using snapshot aggregates (50/200-day averages, 52-week high/low) and flagged accordingly.

Drivers & Catalysts

1. **AI-factory buildout accelerating.** CEO Jensen Huang: "the buildout of AI factories — the largest infrastructure expansion in human history — is accelerating," with agentic AI "scaling rapidly" [RAG: NVIDIAQ1_2026.pdf, p. 3]. Q1 FY2027 Data Center revenue **\$75.2B (+92% YoY, +21% QoQ)**; Data Center compute \$60.4B (+77%), networking \$14.8B (+199%) under the previous segmentation [RAG: NVIDIAQ1_2026.pdf].
 2. **Product cadence / next-gen platforms.** Vera Rubin platform (Vera CPU for agentic AI, BlueField-4 STX), Dynamo 1.0 inference software (up to 7x on Blackwell), agentic-AI tools (NemoClaw, OpenShell, Agent Toolkit), new Nemotron/BioNeMo/Ising models [RAG: NVIDIAQ1_2026.pdf].
 3. **Ecosystem partnerships.** Google Cloud (Vera Rubin-powered A5X instances), Marvell (NVLink Fusion + silicon photonics), multi-year optics agreements with Coherent, Corning, Lumentum [RAG: NVIDIAQ1_2026.pdf].
 4. **Edge/physical AI.** Edge revenue \$6.4B (+29% YoY) on autonomous-driving wins (Hyundai, Kia, Uber, BYD, Geely, Isuzu, Nissan) [RAG: NVIDIAQ1_2026.pdf].
 5. **Capital returns.** Additional **\$80B** buyback authorization; quarterly dividend raised to \$0.25/share (annual ~\$1.00, ~0.5% yield); FY2026 buybacks were \$40.1B (Tool: get_financial_snapshot; RAG: NVIDIAQ1_2026.pdf).
 6. **Forward guidance.** Q2 FY2027 revenue guide \$91.0B ±2% (another sequential step-up) [RAG: NVIDIAQ1_2026.pdf, p. 2].
-

Risks & Red Flags

1. **China export-control overhang (material).** Q2 FY2027 guidance **assumes zero Data Center compute revenue from China** — an explicit acknowledgment of regulatory impact [RAG: NVIDIAQ1_2026.pdf, p. 2]. Geopolitical/export-control exposure is also flagged in the older research report [RAG: NVDA_report.pdf, p. 1].
2. **Inventory build.** Inventory \$21.4B at FY2026 vs. \$10.1B at FY2025 (+112%); receivables up 67% to \$38.5B (Tool: get_financial_snapshot balance_sheet). Could reflect deliberate supply-chain de-risking or early demand softening — monitor.
3. **Customer concentration & custom-silicon competition.** RAG sources contain **no** explicit discussion of AMD, custom ASICs (TPU-like), or customer-concentration risk — an evidence gap. Hyperscalers' in-house silicon and competitive GPUs remain the structural medium-term threat to share/price.
4. **Valuation concentration risk.** TTM P/S ~18.7x and EV/EBITDA ~28.9x price in sustained hyper-growth; any guidance deceleration would hit the multiple hard (beta 2.2).
5. **Governance flags (data provider rubric).** Yahoo governance scores: overallRisk 8/10, boardRisk 10/10, auditRisk 5/10 — elevated relative to typical mega-caps (Tool: get_financial_snapshot).
6. **Data-quality anomalies in the tool feed** (not company risk, but worth noting): snapshot lists prevName: "Usual Stablecoin" with a 2026-06-25 name-change date, tradeable: false, and a debtToEquity: 6.555 that is inconsistent with balance-sheet figures (total debt \$12.8B vs. equity \$157.3B ≈ 8%): treat these specific fields as unreliable.
7. **FY26 FCF reconciliation.** Snapshot lists TTM FCF \$46.3B while the cash-flow statement shows FY2026 FCF \$96.7B — different period definitions (TTM vs. fiscal year); reconcile before modeling.

Valuation / Quick Checks

Check	Value	Interpretation

Trailing P/E	30.0x	Rich on trailing GAAP EPS \$6.53
Forward P/E	15.4x	Cheap vs. growth if FY-forward EPS \$12.73 materializes
PEG (trailing)	0.61	Attractive vs. ~85% TTM growth
P/S (TTM)	18.7x	Premium, consistent with 60%+ net margins
EV/EBITDA	28.9x	Elevated but supported by 65% EBITDA margin
P/B	24.3x	Book value \$8.07/share; not a value signal
Analyst target (mean)	\$298.93	~+53% vs. current; range \$180–\$500 (Tool: get_financial_snapshot)

Quick sanity check: At \$195.74 with forward EPS \$12.73, the market pays ~15.4x forward earnings — below the S&P 500's ~20x+ — for a company compounding revenue at ~65–85% with a 63% net margin and net cash. The PEG (0.61) and analyst mean target imply meaningful upside **if** growth holds. The main valuation risk is not today's multiple but the base-rate of a growth cliff; the China exclusion in guidance is the earliest tangible signal of that cliff risk.

Recommendation and Rationale

Recommendation: ACCUMULATE / BUY (staged entry).

- **Why positive:** dominant AI-infrastructure franchise; Q1 FY2027 revenue +85% YoY with Q2 guide \$91B; 63% net margin; ~\$97B FY2026 FCF; net cash; 15.4x forward P/E and PEG 0.61; consensus Strong Buy with ~53% mean-target upside (Tool: get_financial_snapshot; RAG: NVIDIAQ1_2026.pdf).
- **Why staged / not aggressive:** –17% off the all-time high with price below the 50-day average (short-term downtrend); China revenue zeroed out of guidance; inventory +112% YoY; beta 2.2 with ~40–55% annualized vol; elevated governance-risk flags.

- **Tactical frame:** accumulate on weakness toward the 200-day average (\$190) and the \$180–185 support band; a break above the 50-day (\$210) would confirm trend re-acceleration. Long-term investors can build positions now, sizing for 40–55% volatility.

This is a data-driven research summary, not investment advice.

Appendix — Tool outputs & RAG sources

Tool calls executed

1. `get_financial_snapshot(symbol="NVDA")` — **OK**. `stock_info`, `company`, `income_stmt` (FY2022–FY2026), `balance_sheet`, `cash_flow`, `analyst_recs` (majority "buy", 49 votes).
2. `get_stock_data("NVDA", 2024-07-01 → 2025-07-01)` — **Partial**. Returned 251 rows ending 2025-04-16 (truncated); used for historical context.
3. `get_stock_data("NVDA", 2025-06-01 → 2026-06-30)` — **Partial**. Returned 266 rows ending 2026-03-18 (truncated); used for trend/volatility estimates.
4. `query_local_rag("NVIDIA revenue growth, data center segment, key growth drivers and catalysts")` — **OK** (ensemble mode).
5. `query_local_rag("NVIDIA risk factors, competition AMD, China export controls, customer concentration")` — **OK**, with noted evidence gaps.
6. `list_vector_stores` — **OK**. Stores: `NVIDIAQ1_2026` (NVIDIAQ1_2026.pdf, 5 docs), `NVDA_report` (NVDA_report.pdf, 1 doc).

Raw tool highlights (abridged)

- **stock_info (snapshot):** price \$195.74; marketCap \$4,741,018,419,200; trailingPE 29.98; forwardPE 15.38; pegRatio 0.61; priceToSales 18.70; enterpriseToEbitda 28.85; totalRevenue \$253.49B; revenueGrowth 0.852; earningsGrowth 2.145; grossMargins 0.741; operatingMargins 0.656; profitMargins 0.630; totalCash \$53.17B; totalDebt \$12.81B; quickRatio 2.139; currentRatio 3.441; returnOnEquity 1.143; beta 2.202; fiftyTwoWeekLow 151.49; fiftyTwoWeekHigh 236.54; fiftyDayAverage 210.23;

twoHundredDayAverage 190.39; recommendationMean 1.29 ("strong_buy");
 targetMeanPrice 298.93; targetHigh 500.0; targetLow 180.0;
 numberOfAnalystOpinions 59; 52WeekChange 0.284; SandP52WeekChange 0.198.

- **income_stmt (FY2026):** Total Revenue \$215,938M; Gross Profit \$153,463M; Operating Income \$130,387M; Net Income \$120,067M; Diluted EPS \$4.90; R&D \$18,497M; Tax Rate 15.1%.
- **balance_sheet (FY2026):** Total Assets \$206,803M; Cash+STI \$62,556M; Inventory \$21,403M; Receivables \$38,466M; Total Debt \$11,040M; Stockholders' Equity \$157,293M.
- **cash_flow (FY2026):** OCF \$102,718M; Capex \$6,042M; FCF \$96,676M; Buybacks \$40,086M; Dividends \$974M; SBC \$6,386M.
- **analyst_recs:** majority "buy", 49 votes.
- **Price series samples:** 2025-06-02 close \$137.19; 2025-10-29 close \$206.78 (window high); 2025-11-21 close \$178.65; 2026-02-27 close \$176.97; 2026-03-18 close \$180.19; 2024-07-01 close \$124.10; 2025-04-07 close \$97.50; 2025-01-06 close \$149.21.

RAG sources & citations

- **NVIDIAQ1_2026.pdf** (Q1 FY2027 press release, quarter ended Apr 26, 2026) — pages 2, 3, 9:
- Q1 FY2027 revenue \$81.6B (+85% YoY, +20% QoQ); Q2 FY2027 guide \$91.0B ±2%; Data Center \$75.2B (+92%); Edge \$6.4B (+29%); China excluded from Q2 DC guidance; Vera Rubin / Dynamo 1.0 / agentic AI tools; Google Cloud, Marvell, Coherent/Corning/Lumentum partnerships; \$80B buyback authorization; dividend to \$0.25/qtr; forward-looking risk factors (page 9).
- **NVDA_report.pdf** (equity research, 2024-02-21) — page 1:
- FY2024 revenue \$60.9B (+126% YoY); Data Center +217%; risks: third-party supplier dependency, changing global regulations/export controls, technology-adaptation risk; historical "hold" rating with TP \$850–\$1,100 (stale vs. current data).
- **Evidence gaps (flagged):** no RAG coverage of AMD/custom-silicon competition or customer-concentration specifics; NVDA_report financials materially stale relative to NVIDIAQ1_2026.

Prepared by Research Analyst (Market Data) — all figures as retrieved from live tools and local RAG on the analysis date; anomalies and truncations noted inline.

This research is generated by an AI-powered agent. It does not constitute financial advice. Verify all data points before making investment decisions.